

This idea is critical. If you don't understand this, you should read through the example again. Work it out on paper for yourself. Change the numbers around if you wish. It's important to understand the dynamics.

In a world of monetary depreciation, the asset-light company wins. Or put another way, monetary depreciation favors the asset light.

The irony for the big-picture crowd is though they tend to shun stocks, when they do get involved they favor the worst kinds.

To quote another great investor, John Maynard Keynes: "The difficulty lies not in the new ideas but in escaping from the old ones." The ideal business during an inflationary time is one that can (a) raise prices easily and (b) doesn't require investment in a lot of assets.

What about the Failures, the Stocks That Didn't Make It?

This is a question that comes up. People wonder about the companies that looked like 100-baggers but didn't make it for whatever reason.

I mentioned this earlier when discussing the limitations of this study.

First, I'd say there can be no failures. If you compound capital at 20 percent annually, you will multiply that capital a hundredfold after 25 years. There is no failure in the same way as if I were testing, say, stocks with ROEs above 20 percent.

Second, I don't know how I would go about studying failures. How would you define failure? When you think it through, it's not so easy.

So, instead, I took the path that Phelps took. I decided to focus on the 100-baggers.

I humbly offer up this study as a way to increase our understanding of these magical stocks. Nothing is perfect, including this study. I can only hope others will share their own experiences and studies and improve our understanding even more in the future.